22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year considering global minimum top-up tax. The average annual tax rate expected as of March 31, 2024 to be effective for the year ended December 31, 2024 is 12.4%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three-month periods ended March 31, 2024 and 2023 are calculated as follows:

(1) Ordinary shares

(In millions of Korean won and thousands of number of shares)	**2024**	**2023**
Profit for the period attributable to owners of the parent company	6,621,030	1,401,252
Profit for the period available for ordinary shares	5,818,936	1,231,500
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	975	206

(2) Preference shares

(In millions of Korean won and thousands of number of shares)	**2024**	**2023**
Profit for the period attributable to owners of the parent company	6,621,030	1,401,252
Profit for the period available for preference shares	802,094	169,752
Weighted-average number of preference shares outstanding	822,887	822,887
Basic earnings per preference share *(in Korean won)*	975	206

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three-month periods ended March 31, 2024 and 2023.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the three-month periods ended March 31, 2024 and 2023 are as follows:

- Adjustments

(In millions of Korean won)	2024	2023
Adjustments:		
Income tax expense	952,015	251,780
Financial income	(2,077,714)	(2,267,376)
Financial expenses	1,520,022	1,797,505
Post-employment benefits	347,810	278,289
Depreciation	9,231,310	8,800,895
Amortization	719,482	785,598
Bad debt expense (reversal)	(31,709)	67,557
Dividend income	(39,457)	(47,894)
Share of profit of associates and joint ventures	(214,833)	(213,841)
Gain on disposal of property, plant and equipment	(9,335)	(34,449)
Loss on disposal of property, plant and equipment	26,048	9,392
Loss (gain) on valuation of inventories	(1,648,575)	2,475,649
Others	(28,045)	(195,008)
Total	8,747,019	11,708,097

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	2024	2023
Changes in assets and liabilities :		
Decrease (increase) in trade receivables	(3,609,636)	411,960
Decrease (increase) in other receivables	(223,276)	1,151,428
Decrease (increase) in prepaid expenses	36,117	(422,761)
Decrease (increase) in inventories	627,518	(3,731,787)
Increase in trade payables	446,091	1,071,670
Increase (decrease) in other payables	479,925	(4,473)
Increase (decrease) in advances received	171,189	(47,042)
Increase (decrease) in withholdings	13,584	(528,193)
Decrease in accrued expenses	(1,229,733)	(5,169,031)
Increase in provisions	1,149,499	1,287,161
Payment of post-employment benefits	(289,829)	(162,758)
Others	(966,738)	(296,713)
Total	(3,395,289)	(6,440,539)

For the three-month periods ended March 31, 2024 and 2023, cash outflows from principal portion of lease liabilities (financial activities) amount to ₩ 286,357 million and ₩ 261,755 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 53,023 million and ₩ 45,462 million, respectively.